Genius Electronic Optical

Core resilience with CPO upside optionality

Equities

Taiwan

Electric Components & Equipment

12-month rating	**Buy**
12m price target	**NT$1,250.00**
	Prior : NT$700.00
Price (08 Oct 2026)	**NT$1,060**

RIC: 3406.TW **BBG:** 3406 TT

Trading data and key metrics

52-wk range	NT$1,110.00-396.00
Market cap.	NT$120b/US$3.74b
Shares o/s	113m (ORD)
Free float	64%
Avg. daily volume ('000)	4,396
Avg. daily value (m)	NT$3,745
Common s/h equity (12/26E)	NT$28.7b
P/BV (12/26E)	4.2x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	38.72	38.27	-1	37.91
12/27E	41.47	43.93	6	41.65
12/28E	47.75	49.22	3	49.48

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Raise PT to NT$1,250 on potential CPO contribution and intact core business

We reiterate Buy and raise our price target to NT$1,250 from NT$700, rolling valuation to 2028E and moving from P/B to a P/E-based SOTP that separately values the core lens business and the emerging co-packaged optics (CPO) business. We believe Genius is making progress sampling three precision components inside the fiber array unit (FAU) targeting FAU integrators such as Coherent and FOCI. We see potential for the company to qualify the leading FAU module supplier into NVIDIA's CPO program. At the same time, its core business is outperforming Largan, growing +1% YoY in Q326 vs. -11% YoY for Largan as its share rises on periscope lens. Compared with the pressure on Largan's margins from green electricity prices, we believe Genius should maintain its margin, as its main production site is in Xiamen, whereas Largan's production in Taiwan is affected by higher electricity prices.

Core intact: periscope share gains offset muted smartphone demand

September sales of NT$2.67bn (–2% MoM, +1% YoY) took Q326 to NT$7.82bn (+38% QoQ, +1% YoY), in-line with VA consensus. Genius grew 10% YoY in 9M26 against 2% at Largan, which we attribute to share gains in periscope lenses for premium iPhones, offsetting legacy price cuts and lower VR lens shipments. We still keep 7% below VA on 4Q26E revenue (NT$7.34bn, –6% QoQ) reflecting muted iPhone sales and no content in the iPhone 18 Pro's new variable-aperture lens.

CPO component strategy offers a different route to market from Largan

Unlike Largan's pursuit of complete FAU assembly, Genius is targeting high precision optical components within the module, including: 1) high-precision prism to collimate light from the PIC into the fibers, 2) V-groove/key slot to precisely hold the fibers in place, and 3) MT ferrules (high density plastic connector bundling and aligning fibers). We believe Genius' customer is one of the key module suppliers on NVIDIA's 2H27 program targeting over 50% share. Our base case models a complete-FAU market of US$1.85bn in 2028E and US$4.45bn in 2030E, with Genius base case for US$185m and US$668m representing 10% and 15% revenue share of the complete-FAU revenue TAM.

Valuation: Maintain Buy with PT lifted to NT$1,250

We fine-tune our 2026/2027 basic EPS estimates from NT$37.2/NT$41.5 to NT$36.7/NT $44.0 and introduce 2028E EPS of NT$49.25. We move from P/B to P/E SOTP as the core business now delivers steadier earnings and CPO warrants separate valuation. Our NT $1,250 PT comprises NT$745 base business (15x 2028E EPS of NT$49.25) and NT$505 for CPO (40x base case NT$12.72 EPS in 2028E). Catalysts include qualifications at leading FAU makers and the board approved 7mn share private private placement with potential strategic investor (albeit 6% dilution if issued). Our US$1.8bn CPO value compares to US$7bn implied in our Largan NT$5,000 PT.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	21,675	23,187	24,989	26,977	29,584	32,266	34,762	37,476
EBIT (UBS)	4,131	4,671	4,773	5,426	6,083	6,878	7,414	7,995
Net earnings (UBS)	3,003	3,732	4,090	4,315	4,953	5,549	5,952	6,388
EPS (UBS, diluted) (NT$)	26.64	33.10	36.28	38.27	43.93	49.22	52.79	56.66
DPS (net) (NT$)	7.99	12.00	18.00	17.00	18.36	21.98	24.62	26.41
Net (debt) / cash	575	6,007	7,653	11,351	15,484	19,951	24,709	29,820

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	19.1	20.1	19.1	20.1	20.6	21.3	21.3	21.3
ROIC (EBIT) %	19.7	24.3	26.0	30.8	37.4	46.0	55.0	67.6
EV/EBITDA (UBS core) x	5.5	5.7	4.6	11.2	10.0	8.6	7.7	7.1
P/E (UBS, diluted) x	14.6	14.7	11.7	27.7	24.1	21.5	20.1	18.7
Equity FCF (UBS) yield %	11.5	17.1	12.0	4.7	5.2	5.8	6.3	6.8
Dividend yield (net) %	2.1	2.5	4.2	1.6	1.7	2.1	2.3	2.5

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 1,060.00 on 08-Oct-2026

UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Could Genius' CPO products contribute meaningful revenue in a few years?
Yes, from H227E into 2028E. We see Genius' CPO strategy as feasible and lower-risk than Largan's. Largan's goal is to supply the complete FAU; Genius is entering at the component level, supplying V-grooves, MT ferrules and prisms to FAU makers. This lets Genius sell into multiple FAU designs and integrators, limiting its downside if the market converges on a single winning architecture. Management believes multi-sourcing is inevitable once volumes scale and has seen early indications of potentially substantial demand from US optical players, including Corning and Coherent. Genius has a partnership with FOCI and is pursuing other FAU integrators including we believe Coherent; management suggested further updates could come in the near term. Some parts already ship in small volumes, but we do not expect meaningful revenue until H227 or 2028.

Q: Will Genius benefit from further lens technology upgrades in the coming years?
Yes. We expect premium lens participation and product mix to support core revenue growth of 8.0%, 9.7% and 9.1% in 2026-28E. We believe Genius is gaining share from Largan in Apple's periscope lens supply chain after initially lagging. Apple (70–80% of Genius' sales) sell-through units grew 9% YoY YTD through August according to Counterpoint, and Genius' 9M26 revenue grew 10% YoY on a similar trajectory. Largan grew only 2% in 9M26, with Q326 down 11% YoY. For the iPhone 18 series, Genius participates in every lens spec except the variable-aperture upgrade, where it stepped back because of pricing pressure from Chinese competitors. Management says Genius has the technical capability and could enter if future specs or design changes improve the opportunity.

UBS VIEW

Genius offers a combination of an established earnings base from smartphone lens and potential exposure to the passive components required for optical interconnects. We remain constructive on the lens business and see CPO as a potentially material addition from 2028. The component strategy provides several routes to customers, but the valuation should reflect uncertainty over qualified content, allocation and margins. Our Buy rating and NT$1,250 PT is based on NT$745 base business (15x 2028E EPS of NT$49.25) plus NT$505 for the CPO earnings (40x base case NT$12.72 EPS in 2028E). The CPO option for Genius is US$1.8bn vs. US$7bn implied in our Largan NT$5,000 PT.

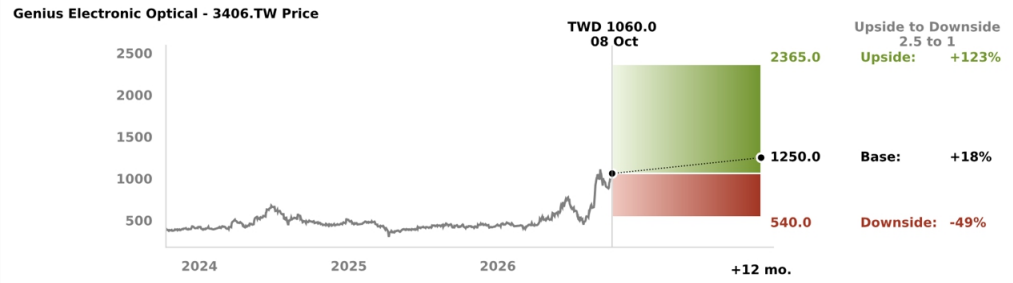
EVIDENCE

Genius share gains are showing in reported sales, with YTD sales +10% YoY vs. +2% YoY for Largan. The company is also participating in every spec except variable aperture. For CPO, Genius delivered samples of its prism, V-groove, and MT ferrule to FOCI at the end of May, with initial feedback broadly on track and no major issues reported to date. Our checks indicate the company is also positioning to supply one of the leading FAU module suppliers for NVIDIA's CPO program from H227.

WHAT'S PRICED IN

At NT$1,060, the shares trade at 24.1x our 2027E core EPS and 21.5x our 2028E core EPS, factoring some of the CPO opportunity in the multiple rather than in estimates relative to the 10 year average 17x P/E. Applying a 15x valuation to the smartphone lens business + 40x to the CPO option from our scenario of NT$9.30 EPS in 2028E yields upside from the last close at NT$1,060 to a NT$1,250 share price.

UPSIDE/DOWNSIDE SPECTRUM



Source: UBS estimates

Core business intact: periscope gains offset muted smartphone demand

September sales of NT$2.67bn (–2% MoM, +1% YoY) took Q326 to NT$7.82bn (+38% QoQ, +1% YoY), in-line with VA consensus. Genius grew 10% YoY in 9M26 against 2% at Largan, which we attribute to share gains in periscope lenses for premium iPhones, offsetting legacy price cuts and lower VR lens shipments. We remain 7% below VA on 4Q26E revenue (NT$7.34bn, –6% QoQ) reflecting muted iPhone sales and no content in the iPhone 18 Pro's new variable-aperture lens.

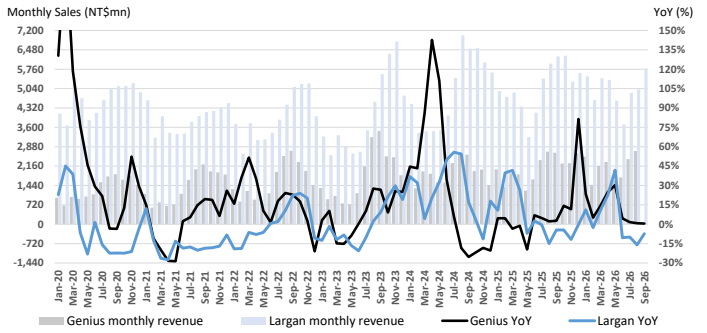
Figure 1: UBS vs. VA Consensus Q126-Q426E and 2025-28E

	Q126	Q226	Q326E			Q426E			2025	2026E			2027E			2028E		
(NT$m)	Actual	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
Revenue	**6,141**	**5,682**	**7,813**	**8,126**	**7,840**	**7,340**	**7,456**	**7,873**	**24,989**	**26,977**	**27,405**	**27,536**	**29,584**	**30,186**	**30,097**	**32,266**	**32,938**	**31,934**
- QoQ / YoY	-14.1%	-7.5%	37.5%	43.0%	38.0%	-6.1%	-8.2%	0.4%	7.8%	8.0%	9.7%	10.2%	9.7%	10.1%	9.3%	9.1%	9.1%	6.1%
Gross profit	**2,061**	**1,884**	**2,717**	**2,820**	**2,765**	**2,530**	**2,551**	**2,745**	**8,125**	**9,192**	**9,316**	**9,455**	**10,163**	**10,168**	**10,222**	**11,081**	**11,191**	**11,176**
- Gross margin	33.6%	33.2%	34.8%	34.7%	35.3%	34.5%	34.2%	34.9%	32.5%	34.1%	34.0%	34.3%	34.4%	33.7%	34.0%	34.3%	34.0%	35.0%
Operating profit	**1,201**	**960**	**1,756**	**1,820**	**1,808**	**1,510**	**1,515**	**1,660**	**4,773**	**5,426**	**5,495**	**5,628**	**6,083**	**6,013**	**6,184**	**6,878**	**6,900**	**6,965**
- OP margin	19.6%	16.9%	22.5%	22.4%	23.1%	20.6%	20.3%	21.1%	19.1%	20.1%	20.1%	20.4%	20.6%	19.9%	20.5%	21.3%	20.9%	21.8%
Non-op profit	**39**	**-142**	**67**	**67**	**127**	**152**	**152**	**110**	**217**	**116**	**116**	**224**	**520**	**247**	**388**	**520**	**307**	**380**
Pre-tax profit	**1,239**	**818**	**1,823**	**1,887**	**1,935**	**1,662**	**1,667**	**1,770**	**4,990**	**5,542**	**5,611**	**5,762**	**6,603**	**6,260**	**6,572**	**7,398**	**7,207**	**7,344**
Tax	**-348**	**-124**	**-486**	**-504**	**-498**	**-438**	**-439**	**-442**	**-1,282**	**-1,396**	**-1,414**	**-1,412**	**-1,650**	**-1,585**	**-1,629**	**-1,849**	**-1,824**	**-1,863**
- Tax rate	28%	15%	27%	27%	26%	26%	26%	25%	26%	25%	25%	25%	25%	25%	25%	25%	25%	25%
Net profit	**891**	**686**	**1,336**	**1,384**	**1,435**	**1,224**	**1,228**	**1,326**	**3,702**	**4,138**	**4,189**	**4,338**	**4,953**	**4,676**	**4,935**	**5,549**	**5,383**	**5,476**
EPS (NT$)	**7.90**	**6.09**	**11.86**	**12.28**	**12.73**	**10.86**	**10.90**	**11.76**	**32.84**	**36.72**	**37.17**	**38.48**	**43.96**	**41.50**	**43.78**	**49.25**	**47.77**	**48.58**

Source: Company data, UBSe, Visible Alpha. Note: EPS shown in this table is basic EPS (reported EPS), which is different from the front-page recurring EPS due to a different calculation and methodology.

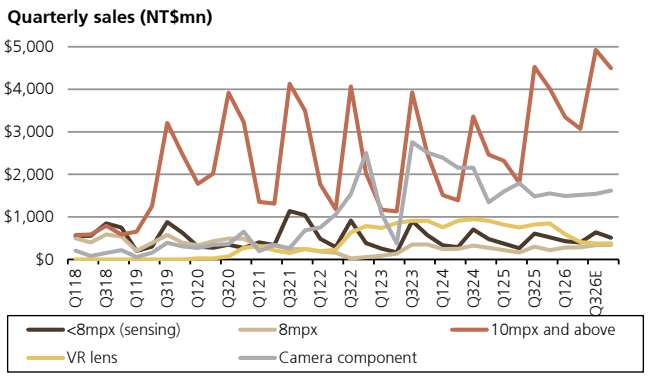
With CPO revenue contribution <5% in 2026 per management guidance, Genius' lens business should remain its primary earnings anchor. With foldables shipping in 2H, Q3 shipment orders are broadly in line with historical patterns but should be watchful on near-term demand trends as customers tend to adjust orders quickly in response to new product sell-through evidenced by Largan's recent cuts. VR contribution has declined from 5–10% in 2025 to <5% in 2026 on demand slowdown, partially offsetting strength in phone lens while the mix shift would enhance Genius' overall margin profile. On the other hand, AR is seeing traction supported by ongoing Ray-Ban shipments with next-gen products in development.

Figure 2: Genius outpacing Largan in recent months



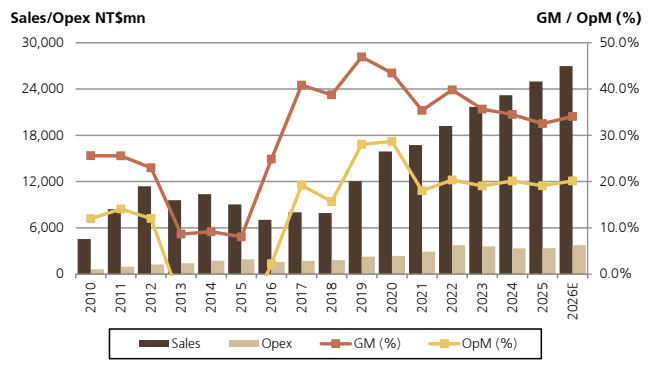
Source: Company data, UBSe

Figure 3: 10MP+ cameras driving the business



Source: Company data, UBSe

Figure 4: Genius margins stabilizing



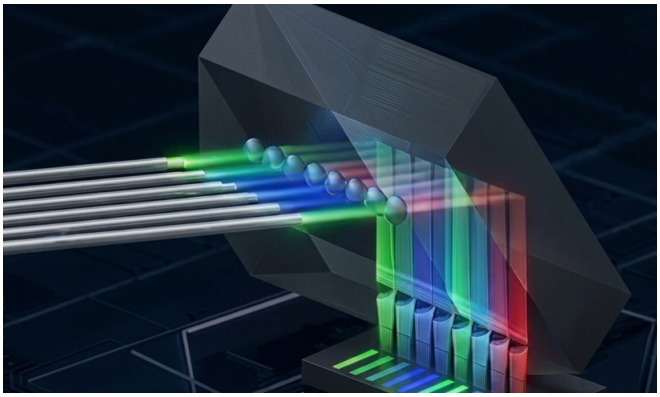
Source: Company data, UBSe

Genius position in the CPO value chain

Genius is targeting the CPO market as a component supplier while Largan is advancing from components into full-FAU assembly. Genius is sampling three components for CPO with FAU makers, including: 1) high-precision prism to redirect light from the PIC into the fibers, 2) V-groove/key slot to precisely hold the fibers in place, and 3) MT ferrules (high density plastic connector bundling and aligning fibers). The companies overlap in capability, with Largan also having PMLA and fiber arrays but not getting into some components like MT ferrules and V-Grooves.

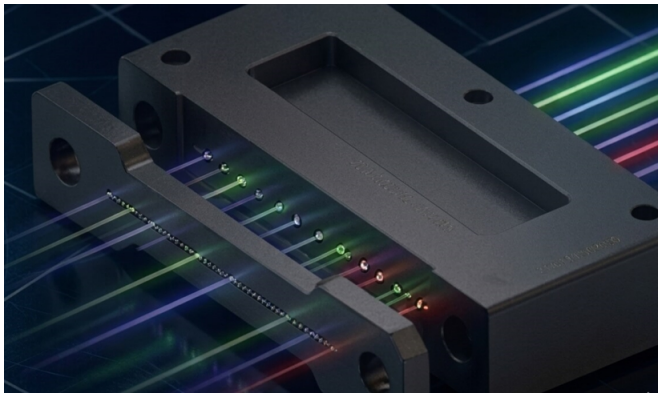
Genius's optical design, precision tooling, metrology and volume-manufacturing experience offer it a good entry point for this market. Commercial differentiation will depend on reproducible optical performance, dimensional tolerances, thermal stability and customer yield. It has announced collaboration with FOCI and we believe has potential to also work with one of NVIDIA's leading module suppliers for its H227 program.

Figure 5: Genius doing high-precision prisms for the FAU with samples sent



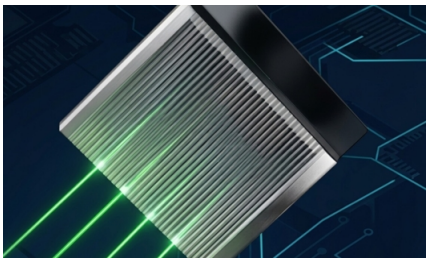
Source: Genius

Figure 6: Genius penetrating the MT ferrule with samples sent



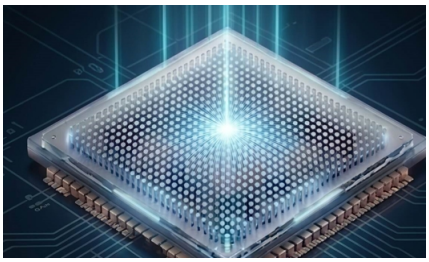
Source: Genius

Figure 7: V-groove samples sent for qualification



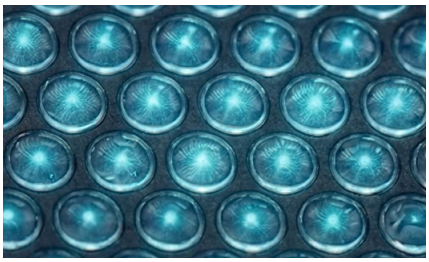
Source: Genius

Figure 8: Meta-lens in development



Source: Genius

Figure 9: Genius also working on the micro-lens array



Source: Genius

Annual FAU TAM reaches US$1.85bn in 2028E and US$4.5bn in 2030E in our base case

We update our FAU (fiber array unit) TAM factoring CPO/NPO penetration into AI networking switches, NVIDIA multi-rack systems, scale-up on compute and switch boards, and non-NVIDIA accelerators. We assume one passive FAU assembly connecting a fiber array to a photonic engine with one unit per optical engine.

We assume one FAU per optical engine and 32 per switch ASIC in our base case, matching NVIDIA's 32x3.2T engines on its 102.4T Spectrum-X package. Broadcom's 102.4Tb/s Davisson uses 16 engines at 6.4Tb/s, so our bear case assumes an even mix of these two designs (24 per ASIC). We note that higher switch bandwidth does not automatically increase FAU count if engine bandwidth rises at the same rate. Our 2030E assumption maintains the 32 FAUs per switch based on bandwidth rising to 204.8Tb/s

ASICs using 6.4Tb/s optical engines.

Figure 10: UBS scenario based on 32 FAUs per switch although switches to date carry a range of specifications

	TH5 Bailly	TH6 Davisson	Quantum-X Q3450	Spectrum-X SN6810	Spectrum-X SN6800
Year of Introduction	**2023**	**H225**	**H225**	**H226**	**H226**
Switch ASIC	Tomahawk 5	Tomahawk 6	Quantum-3	Spectrum 6	Spectrum 6
Bandwidth per Switch box	51.2T	102.4T	115.2T	102.4T	409.6T
Switch ASICs per box	1	1	4	1	4
OE bandwidth (Tb/s each way)	6.4T	6.4T	1.6T	3.2T	3.2T
Optical engines per ASIC	8	16	18	32	32
FAU per Engine	1	1	1	1	1
FAU per Switch	**8**	**16**	**72**	**32**	**128**

Source: Company Data, UBS

Our base case for the FAU market sums up 4 opportunities for CPO/NPO attach:

1. Scale-out and scale-across switches

We estimate annual switch ASIC shipments x CPO + NPO penetration x optical engines per ASIC x FAUs per engine. In 2028E, 25% CPO/NPO penetration or 1.0m 102.4T switch ASICs at 32 FAUs each produces 8.0m FAUs. In 2030E, 55% of 1.1mn 204.8T switch ASICs at 32 FAUs drives a market size of 19.4mn FAUs.

Figure 11: Scale-out/scale-across could drive 8.0/19.4mn FAUs in 2028/2030E

	2028			2030			Assumption
Scale out/Scale across	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
Switch ASIC shipments (k units)	800	1,000	1,050	880	1,100	1,155	
NPO penetration	3%	5%	7%	8%	10%	12%	Optics on the board beside the ASIC
CPO penetration	10%	20%	25%	35%	45%	55%	Optics inside the switch package.
NPO/CPO switch ASICs (k units)	**104**	**250**	**336**	**378**	**605**	**774**	
Bandwidth per Switch (Tbps)	102.4	102.4	102.4	204.8	204.8	204.8	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs per switch ASIC	24	32	32	24	32	32	NVIDIA: 32 OE per ASIC, Broadcom 16
Scale out/Scale across # of FAUs (mn)	**2.5**	**8.0**	**10.8**	**9.1**	**19.4**	**24.8**	

Source: UBS estimates

2. NVIDIA's multi-rack connections for Rubin Ultra and Feynman

NVIDIA at its 2026 GTC San Jose proposed a multi-rack option to network together 8 Oberon NVL72 racks for the Rubin Ultra generation and 8 Kyber NVL144 racks. Feedback at the time showed possible transceiver or NPO connections for Rubin Ultra and CPO connections for Feynman. Our 2028 base case uses 110,000 racks, 15% multi-rack adoption and 75% CPO/NPO penetration, giving approximately 12,400 connected racks.

For 2030E, our rack count falls to 35,000 racks as we assume Kyber would have 4x the number of GPUs, equivalent to 140k Oberon equivalents. We assume the 35,000 racks at 55% multi-rack adoption x 80% CPO/NPO attach gives 15,400 connected racks. We assume about 216 and 576 inter-rack FAUs per rack, respectively, driving a market opportunity of 2.7mn FAUs in 2028E and 8.9mn in 2030E.

Figure 12: NVIDIA rack connected pods could drive 2.7mn/8.9mn FAUs in 2028/2030E

	2028			2030			Assumption
NVIDIA Pod Connected GPUs	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV platform	Oberon / Rubin Ultra			Kyber / Feynman			
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
8-rack pods penetration (%)	10%	15%	20%	40%	55%	70%	
NPO/CPO penetration within pods (%)	50%	75%	80%	65%	80%	95%	Pluggable FAUs excluded from this model
NPO/CPO connected racks (k)	**4.8**	**12.4**	**20.0**	**7.8**	**15.4**	**26.6**	
GPUs per rack	72	72	72	144	144	144	
Switches per rack	72	72	72	144	144	144	72 ASICs in Oberon, 144 per Kyber
Optical engine (Tb) bandwidth	3.2	3.2	3.2	6.4	6.4	6.4	
FAUs attached per switch	2.5	3.0	4.0	2.5	4.0	4.5	3.2T OE in 2028; 6.4T in 2030 (each way)
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
FAUs per connected racks	**180**	**216**	**288**	**360**	**576**	**648**	
NV scale up # of FAUs (mn)	**0.9**	**2.7**	**5.8**	**2.8**	**8.9**	**17.2**	

Source: UBS estimates. Switch count increases to connect to other racks

3. Initial CPO/NPO optical connections on compute and switch boards by 2030E

We include by 2030E CPO native optical connections on compute and switch boards in 5% of racks each adding 1,152 FAUs across the GPUs and switches or 2.0mn FAUs by 2030E.

Figure 13: NVIDIA compute board optics could drive 2.0mn FAUs in 2030E

	2028			2030			Assumption
NVIDIA Compute Board Optics	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
NV racks shipments (k)	95	110	125	30	35.0	40	UBS rack assumptions
Optical GPU penetration	0%	0%	0%	3%	5%	15%	CPU-native GPUs
Compute tray FAUs #	0	0	0	144	144	144	36 trays x 16
GPUs per rack	72	72	72	144	144	144	
Optical engine (Tb)	3.2	3.2	3.2	6.4	6.4	6.4	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
NVLink bandwidth per NVIDIA GPU	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	0	0	0	720	1,152	1,296	
NV optical GPU # of FAUs (mn)	**0.0**	**0.0**	**0.0**	**0.6**	**2.0**	**7.8**	

Source: UBS estimates.

4. Non NVIDIA scale-up opportunity

Non-NVIDIA scale-up uses accelerator rack shipments x optical attach rate x FAUs per rack, producing about 0.5m units in 2028E and 3.7m in 2030E.

Figure 14: ASIC market could drive additional compute board optics could drive 3.7mn FAUs in 2030E

	2028			2030			Assumption
Non-NV scale up	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**	
ASIC rack shipments (k)	43.6	48.5	50.9	76.6	85.1	89.3	*Trainium 4/5/6, MI500, MI600, Jalapeno
Addressable NPO/CPO attach rate (%)	0%	5%	10%	5%	15%	25%	
NPO/CPO connected racks (k)	**0.0**	**2.4**	**5.1**	**3.8**	**12.8**	**22.3**	
Accelerators per rack	72	72	72	72	72	72	Average accelerators per rack
FAUs per accelerator	2.5	3.0	4.0	2.5	4.0	4.5	
Optical build-out (% of full)	56%	67%	89%	56%	89%	100%	% of rack to rack bandwidth wired to optics
Scale-up per non-NVIDIA accelerator (Tb)	14.4	14.4	14.4	28.8	28.8	28.8	
FAUs per connected racks	180	216	288	180	288	324	
Non-NV # of FAUs (mn)	**0.0**	**0.5**	**1.5**	**0.7**	**3.7**	**7.2**	

Source: UBS estimates

Overall market opportunity: 12.3mn/35.6mn generates a US$1.85bn/US $4.5bn TAM in 2028/2030E

We sum four pools: scale-out/scale-across switches, NVIDIA multi-rack pods, CPO native NVIDIA GPUs and non-NVIDIA scale-up. We add 10%/5% for FAUs lost at downstream attach and test and for field spares, driving a market size of in our base case of 12.3mn FAUs in 2028E and 35.6mn in 2030E. At US$150/US$125 per FAU, that is a US$1.85bn market in 2028E and US$4.5bn in 2030E (bear/bull US$0.5bn/US$3.5bn in 2028E; US $1.4bn/US$9.0bn in 2030E). The expansion to 2030E comes from wider optical adoption and greater content in scale-up systems, despite an assumed FAU ASP decline from US$150 to US$125.

Figure 15: Summary of FAU drivers: 12.3mn/35.6mn base case in 2028-2030E

	2028			2030		
Summary of FAU drivers	**Downside**	**Base**	**Upside**	**Downside**	**Base**	**Upside**
Scale out/Scale across # of FAUs (mn)	2.5	8.0	10.8	9.1	19.4	24.8
NV scale up # of FAUs (mn)	0.9	2.7	5.8	2.8	8.9	17.2
NV optical GPU # of FAUs (mn)	0.0	0.0	0.0	0.6	2.0	7.8
Non-NV # of FAUs (mn)	0.0	0.5	1.5	0.7	3.7	7.2
Downstream yield loss and spares	10%	10%	10%	5%	5%	5%
FAUs (mn units)	**3.7**	**12.3**	**19.8**	**13.9**	**35.6**	**59.9**
FAU ASP	$125	$150	$175	$100	$125	$150
Total FAU TAM (US$bn)	**$0.5**	**$1.8**	**$3.5**	**$1.4**	**$4.5**	**$9.0**

Source: UBS estimates

Scenario analysis on Genius CPO opportunity

We assume in base case Genius captures 10% of the TAM in 2028E and 15% by 2030E. The base case in 2028E is consistent with US$30 of prism, V-groove and ferrule content in half of all FAUs or US$15 average content spread across the FAU market. The 2030E bull case (25%) or US$37.50 would require near full content of some of the sub-components or otherwise ability to integrate more of the solution value by that time. Our bear case assumes only 1% share of the opportunity in 2028E and 5% of the opportunity in 2030E, with EPS even by 2030E falling to NT$4 and yielding limited valuation potential for the shares.

Figure 16: Genius downside/base/upside cases for 2028E and 2030E

Genius CPO	2028			2030		
Scenario analysis	**Bear**	**Base**	**Bull**	**Bear**	**Base**	**Bull**
FAUs (mn units)	3.7	12.3	19.8	13.9	35.6	59.9
FAU ASP	125	150	175	100	125	150
Total FAU TAM (US$mn)	**$461**	**$1,847**	**$3,461**	**$1,389**	**$4,452**	**$8,980**
Genius Sales (US$mn)	**$4.6**	**$184.7**	**$519.1**	**$69.4**	**$667.8**	**$2,244.9**
Genius share of the TAM (%)	1%	10%	15%	5%	15%	25%
GM %	40%	45%	47%	40%	45%	48%
Pretax %	27%	30%	31%	27%	30%	33%
Pretax income (US$mn)	**$1.2**	**$55.4**	**$160.9**	**$18.7**	**$200.4**	**$740.8**
Tax	18%	18%	18%	18%	18%	18%
Net income (US$mn)	**$1.0**	**$45.4**	**$132.0**	**$15.4**	**$164.3**	**$607.5**
Net income (NT$mn)	**$32**	**$1,432**	**$4,157**	**$484**	**$5,175**	**$19,135**
EPS (NT$)	**$0**	**$13**	**$37**	**$4**	**$46**	**$170**
Shares	112.7	112.7	112.7	112.7	112.7	112.7

Source: UBS estimates

Reiterate Buy and raise PT to NT$1,250 valuing in CPO optionality

We adjust our valuation method from P/B to P/E SOTP to better reflect the company's core business and its opportunity within CPO industry while the core smartphone business is demonstrating more stable earnings to use P/E vs. prior P/B. Our PT at NT $1,250 is based on NT$745 base business (15x 2028E EPS of NT$49.25) plus NT$505 for the CPO earnings (40x base case NT$12.72 EPS in 2028E) with catalysts from upcoming qualifications into leading FAU makers and potential strategic private placement with board approving 7mn share private placement (albeit 6% dilution if issued). We note Genius CPO option valued at US$1.8bn vs. US$7bn implied in our Largan valuation.

Our price target uses 2028 earnings for both businesses, reflecting the modeled start of meaningful CPO contribution. We apply 15x core EPS of NT$49.25 and 40x CPO EPS of NT$12.72 for a NT$1,250 price target. The 40x multiple assumes the optical business can sustain strong growth after its initial ramp; qualification, concentration and margin risk limit the confidence that can be placed on that earnings stream.

In the upside case, stronger premium lens participation and manufacturing execution lift 2028E core EPS to NT$54.32. Faster optical adoption expands the 2028E FAU market to US$3.46bn; 15% effective revenue capture and a 31% pretax margin produce approximately NT$36.88 CPO EPS. Applying 15x to core earnings and 42x to CPO earnings gives approximately NT$2,365.

In the downside case, weaker lens demand and margin pressure lower core EPS to NT $44.29. Slower optical adoption leaves a US$0.46bn FAU market, of which Genius captures 1%, producing only NT$0.29 CPO EPS. Applying 12x and 38x gives approximately NT$540. The downside is driven by both a weaker core business and a much smaller optical contribution.

Figure 17: UBS Base, Upside, and Downside Spectrum for Genius using SOTP valuation

		New UBS			Upside Case			Downside Case		
	2025	2026	2027	2028	2026	2027	2028	2026	2027	2028
Base smartphone business										
Sales	**$24,989**	**$26,977**	**$29,584**	**$32,266**	**$27,516**	**$30,767**	**$33,556**	**$26,168**	**$28,104**	**$30,652**
YoY Growth	7.8%	8.0%	9.7%	9.1%	10.1%	11.8%	9.1%	4.7%	7.4%	9.1%
Gross Profit	**$8,125**	**$9,192**	**$10,163**	**$11,081**	**$9,541**	**$10,939**	**$11,927**	**$8,759**	**$9,374**	**$10,220**
GM%	**32.5%**	**34.1%**	**34.4%**	**34.3%**	**34.7%**	**35.6%**	**35.5%**	**33.5%**	**33.4%**	**33.3%**
Opex	$3,352	$3,766	$4,080	$4,203	$3,804	$4,162	$4,287	$3,704	$3,968	$4,088
Op Profit	**$4,773**	**$5,426**	**$6,083**	**$6,878**	**5,737**	**6,777**	**7,640**	**5,055**	**5,406**	**6,133**
OpM%	**19.1%**	**20.1%**	**20.6%**	**21.3%**	**20.8%**	**22.0%**	**22.8%**	**19.3%**	**19.2%**	**20.0%**
Non-Op	$217	$116	$520	$520	$116	$520	$520	$116	$520	$520
Pretax	$4,990	$5,542	$6,603	$7,398	$5,853	$7,297	$8,160	$5,171	$5,926	$6,653
Tax Rate	26%	25%	25%	25%	25%	25%	25%	25%	25%	25%
Net income	**$3,702**	**$4,138**	**$4,953**	**$5,549**	**$4,370**	**$5,474**	**$6,121**	**$3,860**	**$4,445**	**$4,990**
EPS	**$32.84**	**$36.72**	**$43.96**	**$49.25**	**$38.79**	**$48.58**	**$54.32**	**$34.26**	**$39.45**	**$44.29**
Shares	113	113	113	113	113	113	113	113	113	113
EPS vs. base case					**5.6%**	**10.5%**	**23.6%**	**-6.7%**	**-10.3%**	**0.8%**
Current Price		**$1,060**								
P/E				15			15			12
Implied Share Price				**$745**			**$815**			**$529**
CPO Expected Value										
EPS				**$12.70**			**$36.89**			**$0.29**
EPS vs. base case							**190.4%**			**-97.8%**
P/E				40			42			38
Implied Valuation				**$505**			**$1,550**			**$11**
Total Genius										
Implied Share Price				**$1,250**			**$2,365**			**$540**
Upside/Downside				**18%**			**123%**			**-49%**

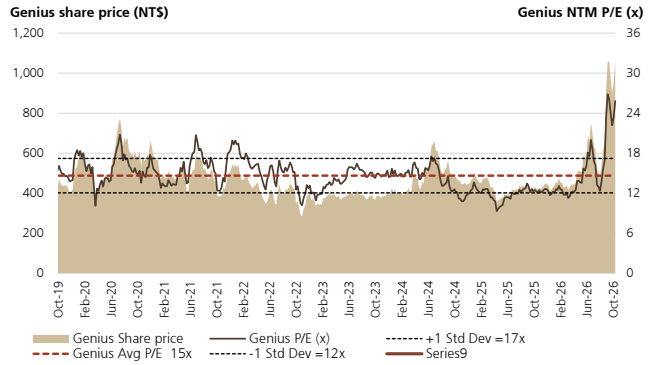
Source: UBS estimates

Figure 18: CPO supply chain peers trading at an average 27x 2028E P/E with a range from 14x-54x

Optical		Market	Price	Price	P/E		EPS (LC$)				Earnings growth (%)			PE (x)			ROE (%)			Historical P/E (x)		
Company	Ticker	cap (US$m)	11-Oct (LC$)	target (LC$)	target (x)	Rating	2025	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	-1 Std Dev	Avg.	+1 Std Dev
Lens																						
Largan	3008.TW	27,378	6,660.0	5,000	23.4	Sell	176.92	188.21	214.00	250.66	4.4	13.7	17.1	35.4	31.1	26.6	12.7	13.7	14.8	13.1	15.9	18.8
Genius	3406.TW	3,741	1,060.0	1,250	16.9	Buy	36.28	38.72	41.47	47.75	6.7	7.1	15.1	27.4	25.6	22.2	15.8	15.6	16.4	1.1	2.3	3.5
Average											**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**	**5.5**
CPO Supply Chain																						
Lumentum	LITE.O	93,344	1,103.4	960	40.4	Neutral	2.12	10.52	23.78	35.81	434.4	160.4	51.7	52.0	56.0	37.9	27.1	36.1	37.9	8.5	19.4	30.3
Corning	GLW.N	137,095	156.7	201	42.1	Buy	2.57	3.34	4.78	7.12	30.6	43.5	47.3	47.7	33.4	22.4	22.9	31.8	41.1	-168.2	32.9	234.0
Coherent	COHR.N	123,129	312.6	-	-	-	4.49	7.42	11.74	16.82	86.0	64.0	42.0	42.1	26.6	18.6	13.5	19.7	23.8	14.1	19.6	25.1
Senko	9069.T	416,040	2,368.0	-	-	-	119.98	140.89	159.70	171.34	19.5	12.8	7.4	16.8	14.8	13.8	10.4	11.3	11.6	9.2	11.6	14.0
TFC	300394.SZ	256,388	235.0	-	-	-	2.02	3.32	5.36	6.88	65.5	60.7	28.5	70.8	43.9	34.2	47.0	47.4	42.1	21.2	33.9	46.5
FOCI	3363.TWO	75,798	667.0	-	-	-	0.85	0.22	13.89	43.01	(66.3)	6684.0	210.2	3,102.3	48.0	15.5	-1.6	39.2	74.6	51.6	115.2	178.8
EZconn	6442.TW	146,044	1,785.0	-	-	-	20.95	62.01	130.00	NULL	206.9	109.6	n.a.	28.8	13.7	n.a.	56.1	63.9	NULL	12.9	23.7	34.5
Himax	HIMX.N	2,320	13.3	-	-	-	0.32	0.52	1.01	1.96	62.3	88.2	93.5	25.5	13.2	6.8	10.5	14.5	26.1	0.6	21.5	42.3
Browave	3163.TWO	65,204	689.0	-	-	-	4.36	9.33	21.17	NULL	n.a.	n.a.	n.a.	73.8	32.5	n.a.	22.2	38.6	NULL	10.1	32.2	54.2
VisEra	6789.TW	153,102	481.0	-	-	-	3.60	6.13	7.45	8.95	70.9	21.5	20.2	78.4	64.6	53.7	10.7	13.3	12.2	31.3	50.4	69.6
Average											**101.1**	**805.0**	**62.6**	**353.8**	**34.7**	**25.4**	**21.9**	**31.6**	**33.7**	**-0.9**	**36.0**	**72.9**
Optical Average											**76.4**	**606.4**	**50.7**	**325.1**	**35.5**	**27.2**	**19.9**	**27.5**	**28.6**	**1.2**	**30.5**	**59.8**

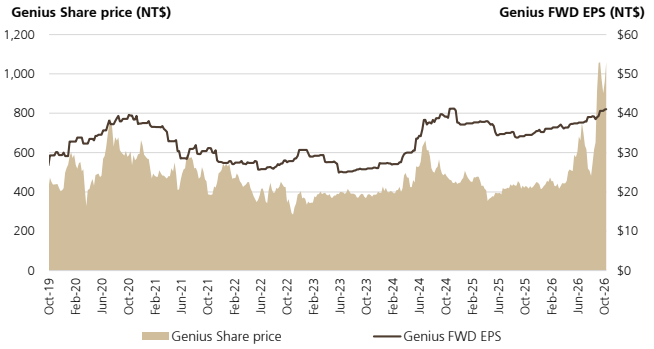
Source: UBS estimates, Eikon

Figure 19: Genius trading at 23x PE, near the high end of its historical average



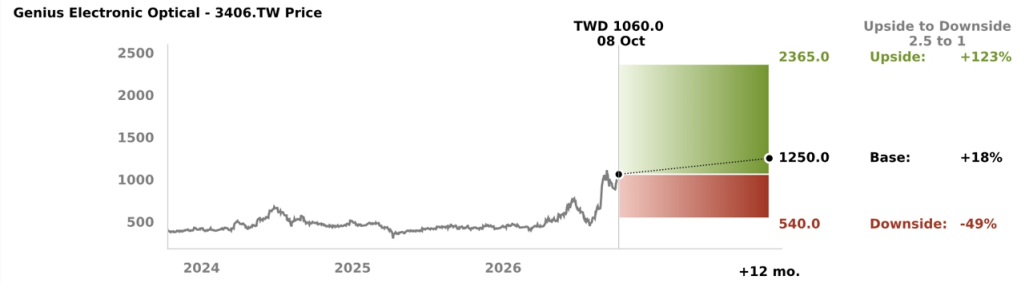
Source: Eikon

Figure 20: Stock price running ahead of its fwd EPS pricing in the CPO opportunity



Source: Eikon

UPSIDE/DOWNSIDE SPECTRUM



Genius (3406.TW) trading at 1,060 at closed Oct 8.
Source: UBS estimates

UPSIDE (NT$2,365): Lens upgrades accelerate and Genius gains share in higher-end specs. 2027E/28E sales grow 11.8%/9.1% YoY (base 9.7%/9.1%), and GM expands to 35.6%/35.5% (base 34.4%/34.3%) on better yields and mix. 2028E core EPS of NT $54.3 (+10% vs base) at 15x gives NT$815. Faster CPO adoption and stronger AI capex lift the 2028E FAU TAM to US$3.5bn (19.8mn units at US$175); at 15% capture, CPO sales reach US$519mn and CPO EPS NT$36.9, worth NT$1,550 at 42x.

BASE (NT$1,250): Core NT$745 (15x NT$49.25) plus CPO NT$505 (40x NT$12.72), as above.

DOWNSIDE (NT540): Smartphone demand weakens, legacy price erosion continues and share gains stall. 2027E sales grow 7.4% YoY with GM of 33.4%, and 2028E core EPS falls to NT$44.3 (–10% vs base), worth NT$530 at 12x. CPO adoption is slow (10%/3% CPO/NPO in scale-out, no ASIC attach), leaving a US$0.46bn TAM; at 1% capture, CPO is worth NT$11.

Figure 21: UBS base case, upside case and downside case

		New UBS			Upside Case			Downside Case		
	2025	2026	2027	2028	2026	2027	2028	2026	2027	2028
Base smartphone business										
Sales	**$24,989**	**$26,977**	**$29,584**	**$32,266**	**$27,516**	**$30,767**	**$33,556**	**$26,168**	**$28,104**	**$30,652**
YoY Growth	7.8%	8.0%	9.7%	9.1%	10.1%	11.8%	9.1%	4.7%	7.4%	9.1%
Gross Profit	**$8,125**	**$9,192**	**$10,163**	**$11,081**	**$9,541**	**$10,939**	**$11,927**	**$8,759**	**$9,374**	**$10,220**
GM%	**32.5%**	**34.1%**	**34.4%**	**34.3%**	**34.7%**	**35.6%**	**35.5%**	**33.5%**	**33.4%**	**33.3%**
Opex	$3,352	$3,766	$4,080	$4,203	$3,804	$4,162	$4,287	$3,704	$3,968	$4,088
Op Profit	**$4,773**	**$5,426**	**$6,083**	**$6,878**	**5,737**	**6,777**	**7,640**	**5,055**	**5,406**	**6,133**
OpM%	**19.1%**	**20.1%**	**20.6%**	**21.3%**	**20.8%**	**22.0%**	**22.8%**	**19.3%**	**19.2%**	**20.0%**
Non-Op	$217	$116	$520	$520	$116	$520	$520	$116	$520	$520
Pretax	$4,990	$5,542	$6,603	$7,398	$5,853	$7,297	$8,160	$5,171	$5,926	$6,653
Tax Rate	26%	25%	25%	25%	25%	25%	25%	25%	25%	25%
Net income	**$3,702**	**$4,138**	**$4,953**	**$5,549**	**$4,370**	**$5,474**	**$6,121**	**$3,860**	**$4,445**	**$4,990**
EPS	**$32.84**	**$36.72**	**$43.96**	**$49.25**	**$38.79**	**$48.58**	**$54.32**	**$34.26**	**$39.45**	**$44.29**
Shares	113	113	113	113	113	113	113	113	113	113
EPS vs. base case					**5.6%**	**10.5%**	**23.6%**	**-6.7%**	**-10.3%**	**0.8%**
Current Price		**$1,060**								
P/E				15			15			12
Implied Share Price				**$745**			**$815**			**$529**
CPO Expected Value										
EPS				**$12.70**			**$36.89**			**$0.29**
EPS vs. base case							**190.4%**			**-97.8%**
P/E				40			42			38
Implied Valuation				**$505**			**$1,550**			**$11**
Total Genius										
Implied Share Price				**$1,250**			**$2,365**			**$540**
Upside/Downside				**18%**			**123%**			**-49%**

Source: Company data, UBSe

Genius Electronic Optical (3406.TW)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**21,675**	**23,187**	**24,989**	**26,977**	*8.0*	**29,584**	*9.7*	**32,266**	**34,762**	**37,476**
Gross profit	7,731	7,997	8,125	9,192	*13.1*	10,163	*10.6*	11,081	11,943	12,877
EBITDA (UBS)	**7,910**	**8,858**	**8,782**	**9,742**	*10.9*	**10,520**	*8.0*	**11,718**	**12,629**	**13,617**
Depreciation & amortisation	(3,779)	(4,187)	(4,009)	(4,316)	*-7.7*	(4,438)	*-2.8*	(4,840)	(5,214)	(5,621)
EBIT (UBS)	**4,131**	**4,671**	**4,773**	**5,426**	*13.7*	**6,083**	*12.1*	**6,878**	**7,414**	**7,995**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	262	358	307	136	*-55.7*	267	*96.3*	267	267	267
Net interest	35	304	298	157	*-47.4*	253	*61.3*	253	253	253
Exceptionals (incl goodwill)	69	591	(388)	(177)	*54.4*	0	-	0	0	0
Pre-tax profit	**4,497**	**5,925**	**4,990**	**5,542**	*11.0*	**6,603**	*19.2*	**7,398**	**7,935**	**8,516**
Tax	(1,413)	(1,587)	(1,282)	(1,396)	*-8.9*	(1,650)	*-18.2*	(1,849)	(1,983)	(2,128)
Profit after tax	**3,085**	**4,338**	**3,708**	**4,146**	*11.8*	**4,953**	*19.5*	**5,549**	**5,952**	**6,388**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(12)	(14)	(6)	(8)	*-39.7*	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**3,073**	**4,323**	**3,702**	**4,138**	*11.8*	**4,953**	*19.7*	**5,549**	**5,952**	**6,388**
Net earnings (UBS)	**3,003**	**3,732**	**4,090**	**4,315**	*5.5*	**4,953**	*14.8*	**5,549**	**5,952**	**6,388**
Tax rate (%)	31.4	26.8	25.7	25.2	*-2.0*	25.0	*-0.8*	25.0	25.0	25.0

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	26.64	33.10	36.28	38.27	*5.5*	43.93	*14.8*	49.22	52.79	56.66
EPS (local GAAP, diluted)	27.25	38.35	32.84	36.70	*11.8*	43.93	*19.7*	49.22	52.79	56.66
EPS (UBS, basic)	26.64	33.10	36.28	38.27	*5.5*	43.93	*14.8*	49.22	52.79	56.66
DPS (net) (NT$)	7.99	12.00	18.00	17.00	*-5.6*	18.36	*8.0*	21.98	24.62	26.41
Cash EPS (UBS, diluted) [1]	60.15	70.24	71.84	76.55	*6.6*	83.29	*8.8*	92.15	99.04	106.52
Book value per share	189.50	222.45	234.91	254.60	*8.4*	280.18	*10.0*	307.44	335.62	365.88
Average shares (diluted)	113	113	113	113	*0.0*	113	*0.0*	113	113	113

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	8,714	11,173	10,795	14,692	*36.1*	19,026	*29.5*	23,692	28,650	33,962
Other current assets	8,066	7,613	10,583	10,391	*-1.8*	11,111	*6.9*	11,862	12,561	13,320
Total current assets	**16,780**	**18,786**	**21,378**	**25,084**	*17.3*	**30,137**	*20.1*	**35,555**	**41,211**	**47,282**
Net tangible fixed assets	21,143	20,727	18,991	17,184	*-9.5*	15,409	*-10.3*	13,473	11,387	9,139
Net intangible fixed assets	27	27	27	27	*-0.3*	27	*0.0*	27	27	27
Investments / other assets	3,898	3,494	3,244	3,244	*0.0*	3,244	*0.0*	3,244	3,244	3,244
Total assets	**41,848**	**43,035**	**43,641**	**45,539**	*4.3*	**48,817**	*7.2*	**52,299**	**55,870**	**59,692**
Trade payables & other ST liabilities	6,848	7,074	8,263	7,740	*-6.3*	7,934	*2.5*	8,143	8,337	8,548
Short term debt	3,082	1,802	383	383	*0.0*	383	*0.0*	383	383	383
Total current liabilities	**9,930**	**8,876**	**8,646**	**8,123**	*-6.0*	**8,317**	*2.4*	**8,526**	**8,720**	**8,931**
Long term debt	5,057	3,365	2,759	2,959	*7.2*	3,159	*6.8*	3,359	3,559	3,759
Other long term liabilities	5,765	6,030	5,752	5,752	*0.0*	5,752	*0.0*	5,752	5,752	5,752
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**20,752**	**18,271**	**17,157**	**16,834**	*-1.9*	**17,228**	*2.3*	**17,637**	**18,031**	**18,442**
Common s/h equity	**21,096**	**24,765**	**26,484**	**28,705**	*8.4*	**31,589**	*10.0*	**34,662**	**37,839**	**41,250**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**41,848**	**43,035**	**43,641**	**45,539**	*4.3*	**48,817**	*7.2*	**52,299**	**55,870**	**59,692**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	3,073	4,323	3,702	4,138	*11.8*	4,953	*19.7*	5,549	5,952	6,388
Depreciation & amortisation	3,779	4,187	4,009	4,316	*7.7*	4,438	*2.8*	4,840	5,214	5,621
Net change in working capital	1,723	2,138	(400)	(331)	*17.3*	(526)	*-59.1*	(542)	(505)	(549)
Other operating	0	0	0	0	-	0	-	0	0	0
Operating cash flow	**8,575**	**10,649**	**7,312**	**8,123**	*11.1*	**8,865**	*9.1*	**9,847**	**10,661**	**11,460**
Tangible capital expenditure	(3,599)	(1,390)	(1,602)	(2,509)	*-56.6*	(2,663)	*-6.1*	(2,904)	(3,129)	(3,373)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	(825)	(1,640)	(1,389)	0	-	0	-	0	0	0
Investing cash flow	**(4,423)**	**(3,030)**	**(2,992)**	**(2,509)**	*16.1*	**(2,663)**	*-6.1*	**(2,904)**	**(3,129)**	**(3,373)**
Equity dividends paid	(1,353)	(1,353)	(2,029)	(1,917)	*5.6*	(2,069)	*-7.9*	(2,477)	(2,775)	(2,976)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(449)	(140)	(95)	0	-	0	-	0	0	0
Change in debt & pref shares	1,860	(3,667)	(2,574)	200	-	200	*0.0*	200	200	200
Financing cash flow	**58**	**(5,160)**	**(4,699)**	**(1,717)**	*63.5*	**(1,869)**	*-8.9*	**(2,277)**	**(2,575)**	**(2,776)**
Cash flow inc/(dec) in cash	**4,209**	**2,459**	**(379)**	**3,898**	-	**4,333**	*11.2*	**4,666**	**4,958**	**5,312**
FX / non cash items	0	0	0	0	*-50.0*	0	-	0	0	0
Balance sheet inc/(dec) in cash	**4,209**	**2,459**	**(379)**	**3,898**	-	**4,333**	*11.2*	**4,666**	**4,958**	**5,312**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Genius Electronic Optical (3406.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	14.3	12.7	13.0	28.9	24.1	21.5	20.1	18.7
P/E (UBS, diluted)	14.6	14.7	11.7	27.7	24.1	21.5	20.1	18.7
P/CEPS	6.5	6.9	5.9	13.8	12.7	11.5	10.7	10.0
Equity FCF (UBS) yield %	11.5	17.1	12.0	4.7	5.2	5.8	6.3	6.8
Dividend yield (net) %	2.1	2.5	4.2	1.6	1.7	2.1	2.3	2.5
P/BV	2.1	2.2	1.8	4.2	3.8	3.4	3.2	2.9
EV/revenues (core)	2.0	2.2	1.6	4.1	3.6	3.1	2.8	2.6
EV/EBITDA (UBS core)	5.5	5.7	4.6	11.2	10.0	8.6	7.7	7.1
EV/EBIT (core)	10.6	10.8	8.4	20.2	17.4	14.7	13.0	12.1
EV/OpFCF (core)	5.8	5.8	4.6	11.4	10.1	8.7	7.7	7.2
EV/op. invested capital	2.1	2.6	2.2	6.2	6.5	6.8	7.2	8.2

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	43,266	54,131	47,454	119,504	119,504	119,504	119,504	119,504
Net debt (cash)	1,054	(3,291)	(6,830)	(9,502)	(13,417)	(17,717)	(22,330)	(22,330)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**44,321**	**50,840**	**40,624**	**110,003**	**106,087**	**101,787**	**97,175**	**97,175**
Non core assets	(449)	(449)	(449)	(449)	(449)	(449)	(449)	(449)
Core enterprise value	**43,872**	**50,391**	**40,175**	**109,553**	**105,638**	**101,338**	**96,726**	**96,726**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	12.8	7.0	7.8	8.0	9.7	9.1	7.7	7.8
EBITDA (UBS)	10.5	12.0	(0.9)	10.9	8.0	11.4	7.8	7.8
EBIT (UBS)	5.7	13.1	2.2	13.7	12.1	13.1	7.8	7.8
EPS (UBS, diluted)	(1.2)	24.3	9.6	5.5	14.8	12.0	7.3	7.3
Net DPS	(20.1)	50.1	50.0	(5.6)	8.0	19.7	12.0	7.3

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	35.7	34.5	32.5	34.1	34.4	34.3	34.4	34.4
EBITDA margin	36.5	38.2	35.1	36.1	35.6	36.3	36.3	36.3
EBIT (UBS) margin	19.1	20.1	19.1	20.1	20.6	21.3	21.3	21.3
Net earnings (UBS) margin	13.9	16.1	16.4	16.0	16.7	17.2	17.1	17.0
ROIC (EBIT)	19.7	24.3	26.0	30.8	37.4	46.0	55.0	67.6
ROIC post tax	13.4	17.1	19.8	23.2	28.0	34.5	41.3	50.7
ROE (UBS)	14.7	16.3	16.0	15.6	16.4	16.8	16.4	16.2

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(0.1)	(0.7)	(0.9)	(1.2)	(1.5)	(1.7)	(2.0)	(2.2)
Net debt / total equity %	(2.7)	(24.3)	(28.9)	(39.5)	(49.0)	(57.6)	(65.3)	(72.3)
Net debt / (net debt + total equity) %	(2.8)	(32.0)	(40.6)	(65.4)	(96.1)	NM	NM	NM
Net debt/EV %	2.4	(6.5)	(16.8)	(8.6)	(12.6)	(17.4)	(23.0)	(28.1)
Capex / depreciation %	95.2	33.2	40.0	58.1	60.0	60.0	60.0	60.0
Capex / revenue %	16.6	6.0	6.4	9.3	9.0	9.0	9.0	9.0
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	3.3	2.8	2.0	2.3	2.4	2.2	2.1	2.1
Div. payout ratio (UBS) %	30.0	36.3	49.6	44.4	41.8	44.7	46.6	46.6

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	21,675	23,187	24,989	26,977	29,584	32,266	34,762	37,476
Total	**21,675**	**23,187**	**24,989**	**26,977**	**29,584**	**32,266**	**34,762**	**37,476**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	4,131	4,671	4,773	5,426	6,083	6,878	7,414	7,995
Total	**4,131**	**4,671**	**4,773**	**5,426**	**6,083**	**6,878**	**7,414**	**7,995**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	17.9%
Forecast dividend yield	1.6%
Forecast stock return	19.5%
Market return assumption	6.3%
Forecast excess return	13.2%

Company Description

Founded in 1989, Genius Electronic Optical (GSEO) is a leading global manufacturer of camera lenses, providing full service optical solutions, including mobile lenses, automotive lenses and AR/VR optics. Its production sites are in Taichung (one plant) and Xiamen (two plants). The Taichung plant mainly manufactures VR lenses, while the Xiamen plants produce compact lenses for consumer electronics. Optical lens products accounted for 73% of 2023 total revenue, and others include TOF lenses, flash lenses, VR lenses and LED lighting products. Its major client is Apple and it supplies lenses for iPhones and iPads.

UBS EPS and Consensus EPS

The UBS EPS is an adjusted diluted EPS metric. It is calculated using the UBS analyst's interpretation of earnings suitable for valuation purposes divided by the diluted number of shares. This may differ to the way the consensus EPS metric has been calculated.

Valuation Method and Risk Statement

Our Genius price target is based on PE-based sum-of-the-parts model. Genius' growth is highly leveraged to the overall handset industry and could be affected by volatility in handset demand, as well as whether handset OEMs will continue upgrading their camera design. Genius' margins could be affected by increasing competition and the rise of new technologies, ASP pressure from customers and fluctuating material and labour costs. Downside risks include competitors catching up in technology, yield rate issues for new products and uncertain iPhone demand.

Our price target is based on SOTP valuation on the CPO opportunity and traditional lens business. We think Largan's downside risks include: 1) ongoing pricing pressure from smartphone OEM clients and increasingly intense competition among lens suppliers; and 2) a slower-thanexpected smartphone demand recovery in China, and 3) CPO commercial success below the market's elevated expectations. We believe the key upside risk is a faster-than-expected CPO qualification process at Largan. In addition, if the company demonstrates exceptionally efficient and highly accurate automation capabilities, it could support greater market share gains within the industry than we currently anticipate.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Genius Electronic Optical

Question	**Response**
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	4
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Required Disclosures

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

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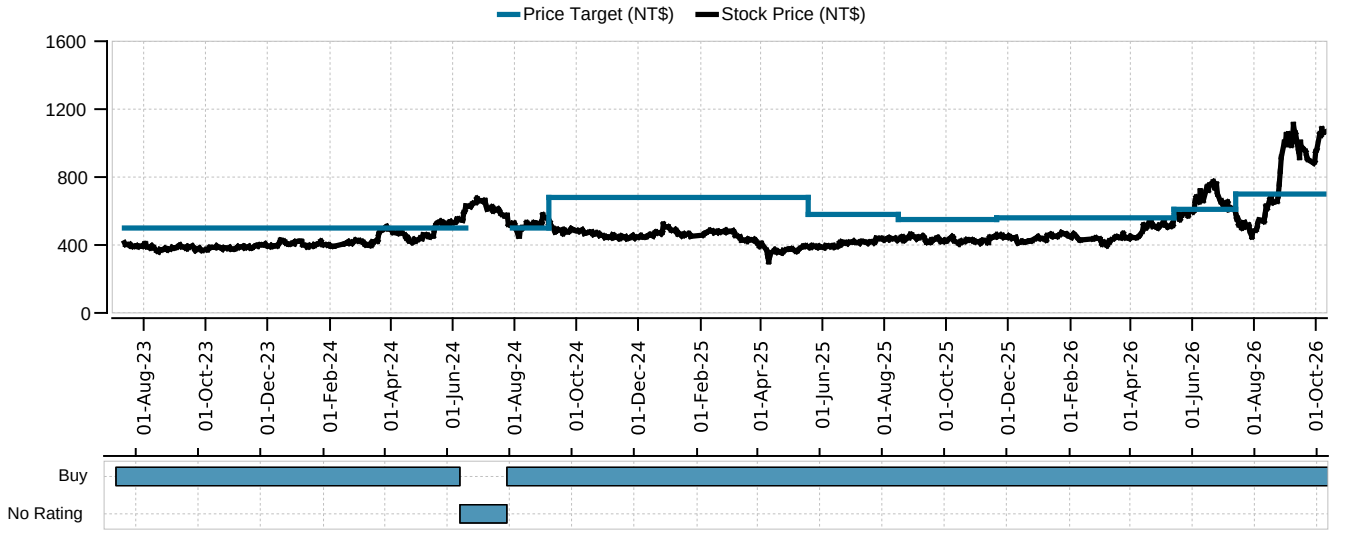
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Genius Electronic Optical[28]	3406.TW	Buy (UR)	NT$1,070	12 Oct 2026
Largan Precision[28]	3008.TW	Sell	NT$7,325	12 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

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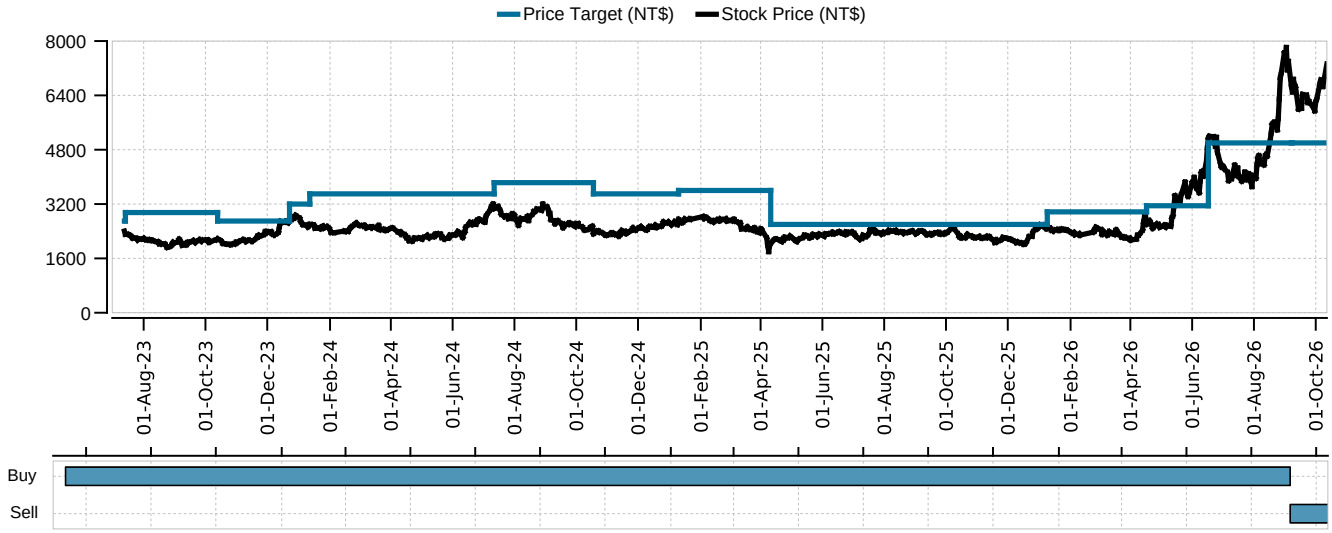
Genius Electronic Optical (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-12	417.50	500.00	Buy
2024-06-13	599.00	-	No Rating
2024-07-29	512.00	500.00	Buy
2024-09-03	554.00	680.00	Buy
2025-05-17	395.00	580.00	Buy
2025-08-14	428.00	550.00	Buy
2025-11-19	449.50	560.00	Buy
2026-05-13	516.00	610.00	Buy
2026-07-13	609.00	700.00	Buy

Source: UBS Global Research; LSEG Eikon as of 12-Oct-2026. All prices as of local market close. Ratings as of date shown.

Largan Precision (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-12	2360.00	2700.00	Buy
2023-07-13	2405.00	2950.00	Buy
2023-10-12	2150.00	2700.00	Buy
2023-12-22	2650.00	3200.00	Buy
2024-01-11	2550.00	3500.00	Buy
2024-07-11	3200.00	3830.00	Buy
2024-10-17	2545.00	3500.00	Buy
2025-01-09	2595.00	3600.00	Buy
2025-04-10	1980.00	2600.00	Buy
2026-01-08	2475.00	2970.00	Buy
2026-04-16	2820.00	3150.00	Buy
2026-06-16	4860.00	5000.00	Buy
2026-09-06	7400.00	5000.00	Sell

Source: UBS Global Research; LSEG Eikon as of 12-Oct-2026. All prices as of local market close. Ratings as of date shown.

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